Four regulatory camps emerge as states move toward restricting data centers

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As public opposition to data centers grows, state and local governments are likely to advance tighter regulations, though the level of restrictiveness will vary significantly by jurisdiction.
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State and local governments are beginning to diverge into four categories based on their regulatory approaches to data center construction: enthusiastic adopters, tolerant adopters, hesitant adopters, and adoption opponents.
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How restrictive regulations become will hinge on four variables: public opinion, electoral pressures, the posture of key leaders, and local political conditions.

Mounting public discontent with data center buildouts is pushing state and local politicians to act. Recent polls show growing bipartisan public opposition to data centers, driven by concerns about increased energy and water costs for consumers, noise and permitting considerations, and broader anxiety around AI (Please see Eurasia Group's Practice Letter: Mounting techlash imperils sector’s political and policy gains , 21 May 2026). Given this public pressure and the approaching US midterm elections, a growing number of politicians across the political spectrum are harnessing populist sentiment and introducing measures to slow or oppose AI data center buildouts.

Because President Donald Trump’s administration aims to accelerate data center buildouts, state and local actors will lead the regulatory approach. While some have not taken a position, four categories of state and local regulations are emerging:

Enthusiastic adopters: Many states are incentivizing data center buildouts. Aligned with the Trump administration, these states are heavily promoting and incentivizing data center construction through tax policy, including tax exemptions on equipment, property tax reductions, and high-tech job tax credits. In some cases, they are offering negotiated utility rates, infrastructure cost sharing, and expedited permitting. For example, Texas, Georgia, Nevada, and Indiana are taking this approach. Some of these states impose ratepayer protection schemes, which ensure that AI data center companies are footing the bill for electricity costs and energy grid upgrades.

Tolerant adopters: These states were previously more enthusiastic but have rolled back incentives. As local discontent grows, enthusiastic states are likely to reverse or pause incentive programs. Arizona, Massachusetts, and New Jersey are in this camp, enacting freezes on data center tax exemptions and pausing applications for tax credit programs. This is a possible future trajectory for enthusiastic adopters, such as Georgia and Texas, where politicians looking to hedge politically have pledged to revisit tax credits.

Hesitant adopters: These jurisdictions are imposing conditionality on AI data center buildouts. Select state and local governments are conditioning data center construction on projected community benefits, such as tax contributions, wage and labor standards, and environmental performance metrics. In most cases, these states impose ratepayer protection schemes. Virginia, Minnesota, and Washington are among the most prominent hesitant adopters, with the approach likely to gain traction over time, especially since buildout moratoriums create space for local and state regulations to catch up to the data center boom.

Adoption opponents: Some governments are temporarily or permanently banning data center builds. While no state has imposed a permanent ban, several cities have, including Monterey Park, California; St. Charles City, Missouri; San Marcos, Texas; and Smithfield, Rhode Island. These bans were imposed through ballot measures as well as zoning and permitting restrictions. Several states and local governments have imposed temporary moratoriums on buildouts. Most recently, Governor Kathy Hochul made New York the first state to temporarily ban large-scale data centers using 50 megawatts or more of power, placing a one-year ban on construction. Most states taking this stance are imposing ratepayer protection schemes. Nearly 50 local governments have placed temporary moratoriums on data center builds.

Several key variables will determine the trajectory of state and local AI infrastructure regulations:

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Public opinion: Where public opinion worsens, stricter regulations often follow. To date, the regulatory approach does not always mirror the political discourse. However, given growing opposition to data centers, a worsening political environment is likely to be a leading indicator of a more restrictive policy environment.

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Political vulnerability: Political dynamics will likely pull states' policies toward less friendly positions as public opinion sours. As the midterm elections approach, more restrictive policies are likely to gain momentum as politicians seize the issue to signal that they are seriously addressing constituents' concerns. Politicians in a politically vulnerable district or swing state have increased incentives to campaign on the issue and support harsher restrictions.

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Personalities: Governors, mayors, and senior politicians play an important role in their jurisdictions' trajectories. Leaders who have the political capital to halt more aggressive anti-data center regulation may do so. Others may campaign on the issue. But it is not a binary: While Governor Hochul may have instituted a temporary moratorium, her executive action was partially intended to head off a more restrictive legislative one.

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Local politics: In previously enthusiastic states, local politics may push state governments to roll back incentives. In other contexts, local bans may serve to mollify critics and prevent more restrictive policies statewide. Local politics can also point toward data center construction, especially where revenue-starved municipalities look to data centers as an attractive new tax base and a way to reduce property-tax bills.

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